

The Digital Shift: How COVID-19 Reshaped Adidas Sales

The Digital Shift: How COVID-19 Reshaped Adidas Sales Methods and What It Means for Retailers



[Yemi Fatodu](#) || Data Scientist

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*In the wake of the COVID-19 pandemic, retail landscapes across the globe underwent seismic shifts, forcing businesses to adapt or face obsolescence. @adidas, a leading player in the sportswear industry, exemplifies this transformation through its varied sales methods — online, in-store, and outlet sales — each of which was impacted differently during the pandemic years of **2020** and **2021**. In analyzing Adidas' sales data during these critical years, I uncovered not only the resilience of certain sales methods but also the strategic shifts that drove growth and profitability. This analysis sheds light on the broader implications for retailers navigating the new normal in a post-pandemic world.*

The Surge of Online Sales: A Case Study in Adaptation

The most striking revelation from the data is the exponential growth of online sales. While in-store and outlet sales were traditionally dominant, the onset of COVID-19 accelerated the adoption of online

shopping to unprecedented levels. In **2020**, online sales accounted for a modest **2.48%** of Adidas' total sales. However, by **2021**, this figure skyrocketed to **33.87%**, representing a staggering **5200%** year-over-year growth. This dramatic shift highlights the necessity for retailers to pivot towards e-commerce platforms, a trend that was not just a temporary response to lockdowns but a permanent change in consumer behavior.

In-Store Sales: The Unseen Comeback

While online sales captured the headlines, the resilience of in-store sales should not be overlooked. Despite the challenges posed by social distancing and lockdown measures, in-store sales rebounded significantly in **2021**. The data reveals a **100%** growth in in-store sales from **2020** to **2021**, with total sales jumping from **\$93.9 million** to **\$262.7 million**. This comeback underscores the enduring value of brick-and-mortar stores, particularly as consumers sought a return to normalcy. Retailers must recognize that while digital platforms are crucial, physical stores still hold a key place in the shopping experience, offering a hybrid model that blends the convenience of online shopping with the tangibility of in-store browsing.

Outlet Sales: A Steady Contributor

Outlet sales, which typically offer discounted items, showed a stable performance throughout the pandemic, with a **100%** growth in total sales from **2020** to **2021**. This consistent performance suggests that price-sensitive consumers remained a reliable market segment, even in times of economic uncertainty. For retailers, maintaining a robust outlet strategy can cater to this demographic, ensuring steady revenue streams regardless of broader market conditions.

Quarterly Insights: Navigating the Waves of the Pandemic

Delving into quarterly data reveals how each sales method responded to different phases of the pandemic. In-store and outlet sales took a significant hit in early **2020**, as lockdowns were enforced globally. However, by **Q3 2021**, both sales methods had not only recovered but surpassed pre-pandemic levels. This recovery was driven by a combination of pent-up consumer demand and strategic promotions. Online sales, on the other hand, saw consistent growth across all quarters, reflecting the shift towards digital channels that is likely to persist even as the pandemic wanes.

Profitability: The Real Impact of Sales Methods

Profitability is a critical measure of success, and the analysis reveals interesting trends across the different sales methods. Online sales, despite their explosive growth, boasted the highest profit margins in both **2020 (46.83%)** and **2021 (38.84%)**. In-store and outlet sales, while generating higher total profits, had lower margins, reflecting the higher operational costs associated with these methods. This data suggests that while all sales channels are important, online sales offer the most efficient route to profitability in the current retail environment.

Regional Variations: A Tale of Diverse Markets

The impact of sales methods also varied significantly across different regions. For instance, the Midwest saw a remarkable increase in in-store sales from **\$1.83 million** in **2020** to **\$57.7 million** in **2021**, while online sales surged in the South and Southeast regions. These regional differences highlight the importance of localized strategies, where retailers must tailor their approach to suit the unique dynamics of each market.

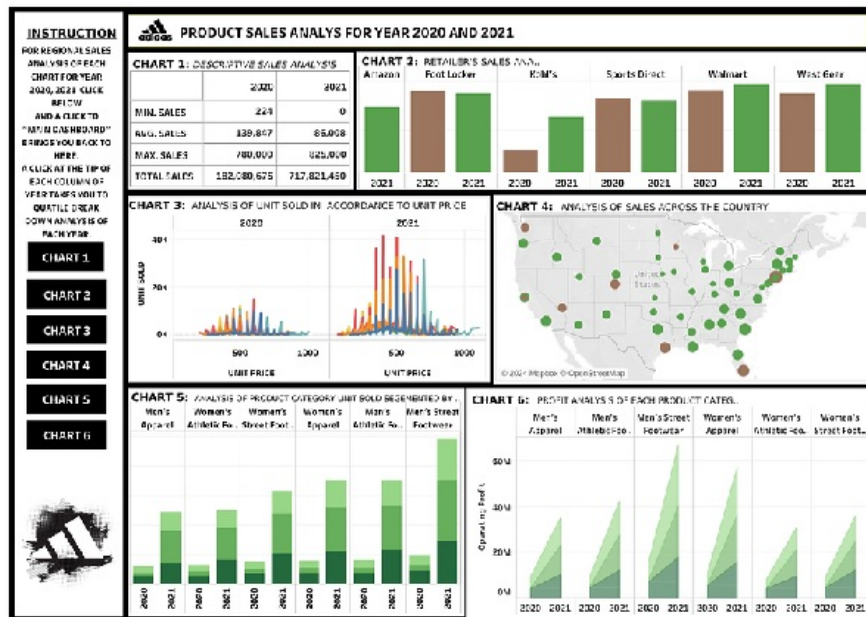
The Road Ahead for Retailers

The COVID-19 pandemic has undoubtedly reshaped the retail

landscape, accelerating trends that were already underway while introducing new challenges. For Adidas, the shift towards online sales was a game-changer, while the recovery of in-store and outlet sales demonstrated the enduring appeal of physical retail spaces. The key takeaway for retailers is the need for a multi-channel strategy that leverages the strengths of each sales method while adapting to the evolving preferences of consumers. Understanding these dynamics and making data-driven decisions, retailers can not only survive but thrive in the post-pandemic.

Dashboard

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The dashboard provides a comprehensive overview of sales data, including various visualizations to help analyze performance. Notably, **Chart 5** provides a detailed breakdown of how different product categories performed under each sales method (e.g., in-store, online, outlet) over the two years. This offers an in-depth analysis of sales methods, detailing their impact and effectiveness. This chart presents a granular breakdown of how different sales methods contributed to overall performance, enabling a clearer understanding of their role in driving sales.

Explore the full Adidas Sales Analysis dashboard on Tableau Public for detailed insights into sales performance, profit margins, and product trends across 2020 and 2021. Click the link to dive into the interactive visualizations and uncover the key data-driven stories.

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Call to Action:

As we move forward, it's essential for retailers to continuously analyze their sales data and adjust their strategies accordingly. Whether it's embracing digital platforms, optimizing physical store operations, or tailoring approaches to regional markets, the future belongs to those who can navigate the complexities of this new retail era. Join me on

this journey by following my insights on Medium, where I delve into the latest trends and strategies in retail and beyond. For a detailed analysis of this project, please visit my GitHub repository. The repository contains all relevant scripts, data visualizations, and insights related to the Adidas Sales Project. You can explore the full report and access the code [here](#)

SQL Queries for Analysis

To provide a deeper insight into the changes observed, here are some SQL queries used for analyzing the sales data and for a detailed view of the SQL queries for this project please [click here](#).

```
SELECT
    YEAR(invoice\_date) AS Year,
    Sales\_Method,
    COUNT(\*) AS NumberOfSales,
    SUM(Total\_Sales) AS TotalSales,
    ROUND(SUM(Total\_Sales) \* 100.0 / SUM(SUM(Total\_Sales)) OVER
(PARTITION BY YEAR(invoice\_date)), 2) AS SalesPercentage
FROM
    \[dbo\].\[ADIDDASSALE\]
WHERE
    YEAR(invoice\_date) IN (2020, 2021)
GROUP BY
    YEAR(invoice\_date),
    Sales\_Method
ORDER BY
    Year,
    Sales\_Method;
```

Year | Sales Method | Number of Sales | Total Sales (\$) | Sales Percentage (%) |

Year	Sales Method	Number of Sales	Total Sales (\$)	Sales Percentage (%)
2020	In-store	287	93,903,000	51.57
2020	Online	530	4,519,966	2.48
2020	Outlet	485	83,657,709	45.95
2021	In-store	1,453	262,740,750	36.60
2021	Online	4,359	243,152,916	33.87
2021	Outlet	2,534	211,927,784	29.52

- 1. Year-over-Year Growth by Sales Method**
Examine the changes in growth or decline for each sales method from 2020 to 2021.

```
SELECT
    Sales\_Method,
    SUM(CASE WHEN YEAR(invoice\_date) \= 2020 THEN Total\_Sales ELSE 0
END) AS Sales2020,
    SUM(CASE WHEN YEAR(invoice\_date) \= 2021 THEN Total\_Sales ELSE 0
```

```

END) AS Sales2021,

(SUM(CASE WHEN YEAR(invoice\_date) \= 2021 THEN Total\_Sales ELSE
0 END) \-

SUM(CASE WHEN YEAR(invoice\_date) \= 2020 THEN Total\_Sales ELSE
0 END)) /

NULLIF(SUM(CASE WHEN YEAR(invoice\_date) \= 2020 THEN
Total\_Sales ELSE 0 END), 0) \* 100 AS GrowthPercentage

FROM

\[dbo\].\[ADIDDASSALE\]

WHERE

YEAR(invoice\_date) IN (2020, 2021)

GROUP BY

Sales\_Method

ORDER BY

GrowthPercentage DESC;

Sales Method | Sales 2020 ()|Sales2021() | Growth Percentage (%) |
|-----|-----|-----|-----|
Online | 4,519,966 | 243,152,916 | 5200 |
In-store | 93,903,000 | 262,740,750 | 100 |
Outlet | 83,657,709 | 211,927,784 | 100 |

```

2. Quarterly Analysis by Sales Method

Examine the performance of different sales methods across each quarter for 2020 and 2021.

```

SELECT

YEAR(invoice\_date) AS Year,

QUARTER(invoice\_date) AS Quarter,

Sales\_Method,

SUM(Total\_Sales) AS TotalSales

FROM

\[dbo\].\[ADIDDASSALE\]

WHERE

YEAR(invoice\_date) IN (2020, 2021)

GROUP BY

YEAR(invoice\_date),

QUARTER(invoice\_date),

Sales\_Method

ORDER BY

Year,

Quarter,

Sales\_Method;

```

Year | Quarter | Sales Method | Total Sales (\$) |

|---|---|---|---|

2020	1	In-store	17,150,000
2020	1	Online	1,201,851
2020	1	Outlet	30,560,460
2020	2	In-store	36,443,500
2020	2	Online	1,261,877
2020	2	Outlet	12,649,462
2020	3	In-store	33,637,750
2020	3	Online	1,370,364
2020	3	Outlet	20,320,315
2020	4	In-store	6,671,750
2020	4	Online	685,874
2020	4	Outlet	20,127,472
2021	1	In-store	43,641,250
2021	1	Online	38,545,098
2021	1	Outlet	58,289,745
2021	2	In-store	65,095,250
2021	2	Online	56,189,649
2021	2	Outlet	55,955,299
2021	3	In-store	78,498,750
2021	3	Online	78,516,496
2021	3	Outlet	52,964,679
2021	4	In-store	75,505,500
2021	4	Online	69,901,673
2021	4	Outlet	44,718,061

3. Top Performing Sales Method in Each Year

Determine the most successful sales method for each year.

SELECT

Year,

Sales_Method,

TotalSales

FROM

(

SELECT

YEAR(invoice_date) AS Year,

Sales_Method,

SUM(Total_Sales) AS TotalSales,

ROW_NUMBER() OVER (PARTITION BY YEAR(invoice_date) ORDER BY
SUM(Total_Sales) DESC) AS Rank

FROM

\[dbo\].\[ADIDDASSALE\]

WHERE

YEAR(invoice_date) IN (2020, 2021)

GROUP BY

YEAR(invoice_date),

Sales_Method

) AS RankedSales

WHERE

Rank \= 1;

Year | Sales Method | Total Sales (\$) |

|---|-----|-----|

2020 | In-store | 93,903,000 |

2021 | In-store | 262,740,750 |

4. Impact of Sales Method on Profitability

Evaluate the contribution of each sales method to overall profitability.

SELECT

YEAR(invoice_date) AS Year,

Sales_Method,

SUM(Operating_Profit) AS TotalProfit,

ROUND(SUM(Operating_Profit) * 100.0 / SUM(Total_Sales), 2) AS
ProfitMargin

FROM

\[dbo\].\[ADIDDASSALE\]

WHERE

YEAR(invoice_date) IN (2020, 2021)

GROUP BY

YEAR(invoice_date),

Sales_Method

ORDER BY

Year,

Sales_Method;

Year | Sales Method | Total Profit (\$) | Profit Margin (%) |

|---|-----|-----|-----|

2020 | In-store | 31,595,550 | 33.65 |

2020 | Online | 2,116,486.24 | 46.83 |

2020 | Outlet | 29,663,626.34 | 35.46 |

2021 | In-store | 95,995,737.50 | 36.54 |

2021 | Online | 94,438,690.22 | 38.84 |

2021 | Outlet | 78,324,671.14 | 36.96 |

5. Correlation Between Sales Method and Product Categories to analyze how different product categories perform across various sales methods.

SELECT

Sales_Method,

Product_Category,

SUM(Total_Sales) AS TotalSales,

SUM(Units_Sold) AS TotalUnits

FROM

```

[dbo].[ADIDDASSALE]

WHERE

YEAR(invoice_date) IN (2020, 2021)

GROUP BY

Sales_Method,

Product_Category

ORDER BY

Sales_Method,

TotalSales DESC;

Sales Method | Product | Total Sales ($) | Total Units |

|-----|-----|-----|-----|

In-store | Men's Street Footwear | 88,852,000 | 176,030 |
In-store | Women's Apparel | 70,248,750 | 120,500 |
In-store | Men's Athletic Footwear | 59,348,750 | 117,150 |
In-store | Men's Apparel | 49,325,000 | 85,375 |
In-store | Women's Street Footwear | 48,349,250 | 105,485 |
In-store | Women's Athletic Footwear | 40,520,000 | 85,450 |
Online | Men's Street Footwear | 56,844,308 | 225,121 |
Online | Women's Apparel | 49,763,155 | 163,937 |
Online | Men's Athletic Footwear | 41,715,609 | 163,855 |
Online | Men's Apparel | 35,528,995 | 117,766 |
Online | Women's Street Footwear | 34,227,348 | 147,659 |
Online | Women's Athletic Footwear | 29,593,467 | 120,755 |
Outlet | Men's Street Footwear | 63,129,936 | 192,169 |
Outlet | Women's Apparel | 59,026,955 | 149,390 |
Outlet | Men's Athletic Footwear | 52,609,321 | 154,521 |
Outlet | Women's Street Footwear | 45,426,215 | 139,125 |
Outlet | Men's Apparel | 38,874,637 | 103,542 |
Outlet | Women's Athletic Footwear | 36,518,429 | 111,031 |

```

For an in-depth exploration of the data and detailed analysis of this project, please visit my [GitHub repository](#). The repository contains all relevant scripts, data visualizations, and insights related to the Adidas Sales Project. You can explore the full report and access the code [here](#)